

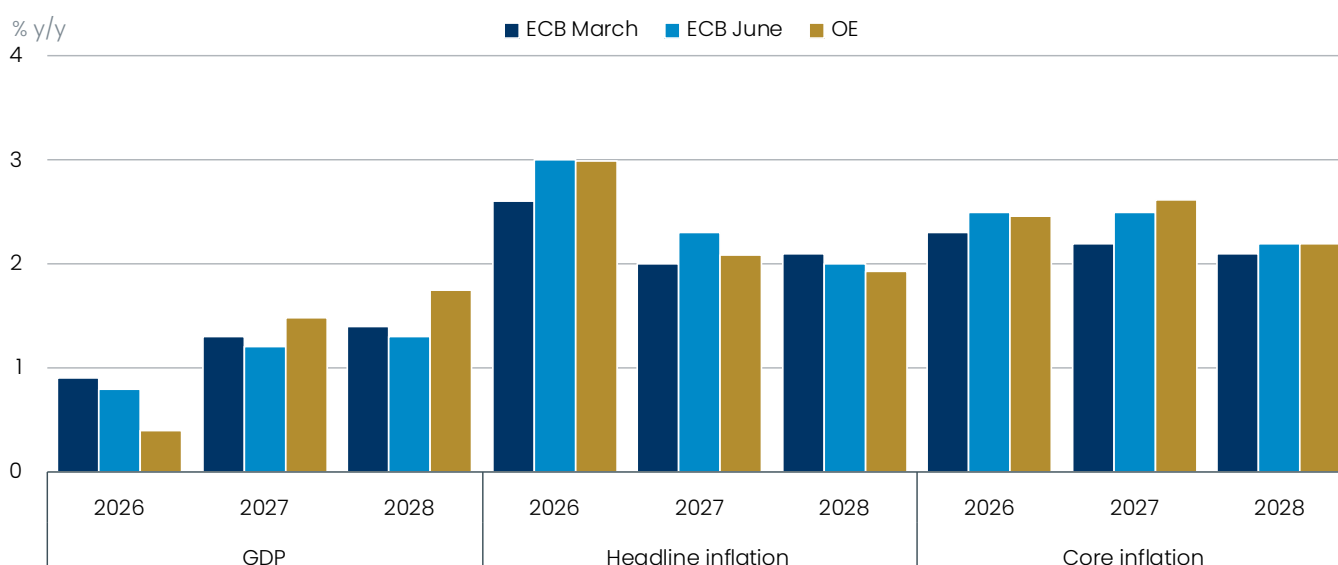
ECB hikes rates as it moves to recalibration mode

- The ECB raised interest rates by 25 basis points as widely expected. The central bank argued that the inflation caused by the war in Iran, and the broadening of inflationary pressures made the move necessary. We see the hike as a necessary recalibration in policy that adjusts the ECB stance to an outlook where inflation risks have worsened considerably.
- The ECB updated its macroeconomic projections and now sees higher inflation and lower growth, but the revisions to inflation were comparatively larger. The central bank anticipates that higher energy prices will have an impact on core inflation and sees both headline and core inflation above target next year, which suggest this will not be a “one-and-done” rate hike.
- ECB President Lagarde reiterated that there is no pre-committed path for rates, offering very little in the way of forward guidance. However, we continue to expect another 25bps rate hike in July, as we think the inflationary forces currently underway do not warrant a wait-and-see approach unless we see a resolution of the conflict that would lead to a quick reopening of the Strait of Hormuz.

The ECB followed the script today and raised its three key policy rates by 25 basis points as was widely expected. This makes the ECB the first central bank among the G7 economies to hike rates in response to the war in the Middle East. The central bank argued that the conflict is generating inflation pressures and added that the decision to raise rates “is robust across a range of scenarios mapping out how the shock might evolve”.

Chart 1: The ECB’s new forecasts see higher inflation, lower growth

Eurozone: GDP and inflation forecasts in comparison



Sources: Oxford Economics, Haver Analytics

This suggests the ECB is trying to stay ahead of the curve and considers that a policy recalibration is needed to ensure that a worsening of the conflict does not have a longer-lasting impact on the medium-term inflation outlook. During the press release, President Lagarde explicitly pushed against the notion of this being an “insurance” hike, explaining that the discussions were not framed around this idea, which would suggest the hike was not necessary at this point. Lagarde argued instead that above target inflation and a broadening of inflationary pressures made the move necessary.

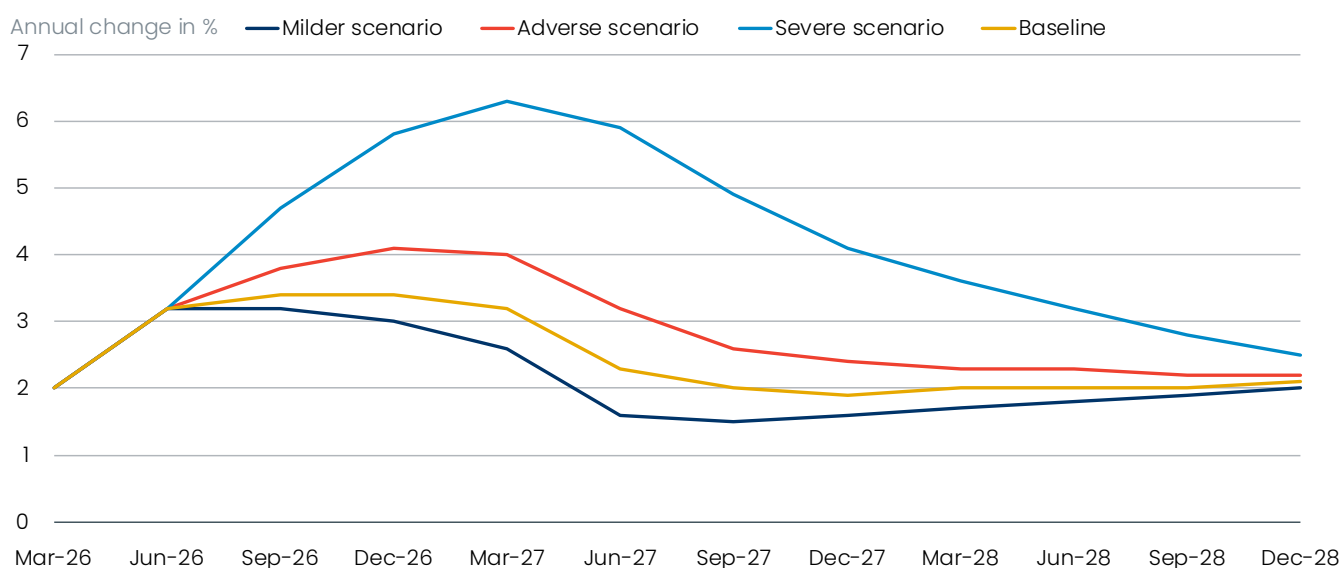
The ECB unveiled a new set of macroeconomic forecasts, which see higher inflation this year (3% vs 2.6% previously) and lower growth (0.8% vs 0.9%), although this forecast does not include the most recent downward revision to Eurozone GDP figures released last week. The central bank also expects that inflationary pressures will extend from higher energy prices into other items and now see core inflation at 2.5% both this year and next ([Chart 1](#)).

The ECB is in a difficult place given the stagflationary nature of the shock, something that the central bank acknowledges in its assessment of risks, which it considers to be on the upside for inflation and on the downside for growth ([Chart 2](#)). But given the relative revisions to the inflation and growth outlook, the ECB’s primary mandate of price stability, the rise in inflation expectations, and the most recent experience being that of reacting too late to the inflation surge of 2021–22, it’s no surprise that the Council still thinks policy needs to be tightened. The ECB does not yet see a sufficient threat to growth to reconsider its policy stance, and we think it will take a more severe deterioration in activity indicators for the conversations within the council to start shifting.

On balance, today’s meeting provided no new information that would justify changing our policy call. We continue to think that two rate hikes would strike the right balance between containing second-round inflation effects and limiting the damage to the economy. We expect the next 25bp hike in July, whereas the consensus sees September as the more likely date. Our view is that the current inflation backdrop, including upside risks to the outlook, is not consistent with a wait-and-see approach. Since the ECB remains data dependent, we think above-target inflation prints between now and the July meeting will persuade the Governing Council to tighten again. That said, the rate outlook will remain highly sensitive to geopolitical developments. A resolution of the conflict that quickly reopens the Strait of Hormuz, or a severe escalation in hostilities, could both imply a different policy path between now and then.

Chart 2: The ECB’s scenarios see upside risks for inflation

ECB inflation forecast scenarios



Sources: Oxford Economics, Haver Analytics